

Q.1 Which of the followings is/are the example(s) of capital expenditures?

- A. All of the given options**
 - B. Investment in alteration of fixed assets
 - C. Replacement of existing fixed asset
 - D. Purchase of new fixed asset
-

Q.2 The beta of the benchmark index or market portfolio is:

- A. 0.50
 - B. 1.00**
 - C. 0.00
 - D. -1.00
-

Q.3 The variability in portfolio returns that can be avoided through diversification is termed as:

- A. Unsystematic risk**
 - B. Coefficient of variation
 - C. Systematic risk
 - D. Standard deviation
-

Q.4 Which of the following statement is TRUE in regards to conservative approach to financing working capital?

- A. Financing the long term needs of the business through short term debt
 - B. Financing the short term needs of the business through short term debt
 - C. Financing the seasonal needs of the business through equity
 - D. Financing the short term needs of the business through long term debt**
-

Q.5 Which of the following statement is true regarding covariance?

- A. The range of covariance lies between -1 to +1
 - B. The covariance can never be negative
 - C. The covariance is always positive because it is a squared value
 - D. The covariance can take on any negative, positive or a zero value**
-

Q.6 Lead time is defined as:

- A. Length of time it takes to order inventory
 - B. Length of time before stock out
 - C. Length of time between ordering and receiving inventory order**
 - D. Time before production is assumed
-

Q.7 Which of the following is/are the component(s) of return?

- A. Interest
 - B. Dividend
 - C. Additional amount on investment
 - D. All of above given options**
-

Q.8 Which of the following statement is TRUE, if contribution margin is positive?

- A. Both profit and loss can occur**
 - B. Profit will only occur if the contribution margin is less than the fixed expenses
 - C. Profit will occur
 - D. Loss will occur if the contribution margin is higher than fixed expenses
-

Q.9 Assume that the market risk premium is 15%, risk free rate of return is 5% and beta of an asset X is 0.2. What will be the expected return of asset X under CAPM?

- A. 8%**
 - B. 2%
 - C. 6%
 - D. 5%
-

Q.10 Which of the following is correct formula for contribution margin ratio?

- A. Sales / Contribution margin per unit
 - B. Fixed cost / Contribution margin per unit
 - C. Sales / Variable costs
 - D. Total contribution margin/ Sales**
-

Q.1 Which of the following represents a change in capital structure?

- A. An increase in % of common shares in the capital structure
 - B. An decrease in % of debt in the capital structure
 - C. An increase in % of preferred stock in the capital structure
 - D. All of the given options**
-

Q.2 Which of the following is not the prime objective of a commercial business?

- A. Fulfillment of corporate social responsibilities**
 - B. Economic uplift
 - C. Employment generation
 - D. All of the given options
-

Q.3 What will be cost of preferred shares if a company is paying Rs. 12 per share dividend and the shares are selling Rs. 95 per share in the market?

- A. 7%
 - B. 12.63%**
 - C. 15%
 - D. None of the given options
-

Q.4 _____ represents a percentage of debt in the total capital.

- A. Financial leverage**
 - B. Capital structure
 - C. None of the given options
 - D. Operating leverage
-

Q.5 What will be weighted average cost of capital if a company has 50% debt with a cost of 15% and 50% equity with a cost of 18%? (Tax rate = 35%)?

- A. 18%
 - B. None of the given options
 - C. 13.875%**
 - D. 15%
-

Q.6 Which of the following is known as theory of irrelevance?

- A. Net operating income theory**
 - B. All of the given options
 - C. Bird in hand theory
 - D. Traditional theory
-

Q.7 Size of a firm as per balance sheet is represented through:

- A. All of the given options
 - B. Market value
 - C. Book value**
 - D. Economic value
-

Q.8 Which of the following is the formula to calculate tax shield benefit for a levered firm?

- A. Tax shield = tax saving / discount rate**
 - B. Tax shield = tax saving * tax rate
 - C. Tax shield = tax saving + discount rate
 - D. Tax shield = tax saving / tax rate
-

Q.9 Optimal capital structure is a mix of debt and equity where _____ is maximized and overall cost of capital is _____.

- A. Cost of debt, maximized
 - B. Cost of equity, maximized
 - C. Value of a firm, maximized**
 - D. Value of a firm, minimized
-

Q.10 Which of the following statements is incorrect regarding traditional theory of capital structure?

- A. Firm value is dependent on capital structure
 - B. It is a theory of irrelevance**
 - C. It is a theory of relevance
 - D. There exists an optimal capital structure where value is maximized and cost is minimized
-

Q.1 Which of the following is correct formula for contribution margin ratio?

- A. Total contribution margin/ Sales**
 - B. Sales / Contribution margin per unit
 - C. Sales / Variable costs
 - D. Fixed cost / Contribution margin per unit
-

Q.2 Which of the followings is/are the example(s) of capital expenditures?

- A. All of the given options**
 - B. Replacement of existing fixed asset
 - C. Purchase of new fixed asset
 - D. Investment in alteration of fixed assets
-

Q.3 Which of the followings is true with respect to straight line method of depreciation?

- A. Depreciation expense remains constant every year**
 - B. Depreciation expense increases every year
 - C. None of the given options
 - D. Depreciation expense decreases every year
-

Q.4 Which of the following is/are the component(s) of return?

- A. All of above given options**
 - B. Interest
 - C. Additional amount on investment
 - D. Dividend
-

Q.5 Lead time is defined as:

- A. Time before production is assumed
 - B. Length of time it takes to order inventory
 - C. Length of time between ordering and receiving inventory order**
 - D. Length of time before stock out
-

Q.6 Gross working capital can further be classified according to:

- A. Rate of return and financing method
 - B. Time and rate of return
 - C. Time and financing method**
 - D. Time and components
-

Q.7 Keeping in mind the concept of market portfolio, which of the following statement is false?

- A. The market portfolio lies on the capital market line
 - B. The market portfolio contains both systematic and unsystematic risk**
 - C. The market portfolio includes all risky assets in the world
 - D. The market portfolio lies on the security market line
-

Q.8 Which of the following is(are) used for estimating cash flows?

- A. All of the given options**
 - B. Initial Cash Outflow
 - C. Terminal Cash Flow
 - D. Incremental Cash Inflow
-

Q.9 The variability in portfolio returns that can be avoided through diversification is termed as:

- A. Unsystematic risk**
 - B. Coefficient of variation
 - C. Systematic risk
 - D. Standard deviation
-

Q.10 Unsystematic risk is also known as:

- A. Market risk
 - B. Undiversifiable Risk
 - C. Controllable Risk**
 - D. Unavoidable Risk
-

Q.1 Which of the following reflects the variability in portfolios return due to change in market return?

- A. Coefficient of variation
 - B. Systematic risk**
 - C. Standard deviation
 - D. Unsystematic risk
-

Q.2 Which of the following statement is TRUE in regards to conservative approach to financing working capital?

- A. Financing the short term needs of the business through long term debt
 - B. Financing the long term needs of the business through short term debt
 - C. Financing the seasonal needs of the business through equity
 - D. Financing the short term needs of the business through short term debt**
-

Q.3 Which of the following statement is true in regards to "2/15 net 30"?

- A. A 15% discount will be given if payment is made within 30 days
 - B. A 2% discount will be given if payment is made within 30 days
 - C. A 15% discount will be given if payment is made within 15 days
 - D. A 2% discount will be given if payment is made within 15 days**
-

Q.4 Which of the following statement is TRUE in regards to aggressive approach to financing working capital?

- A. Financing the long term needs of the business through short term debt
 - B. Financing the inventory of the business through long term debt
 - C. Financing the seasonal needs of the business through short term debt
 - D. Financing the short term needs of the business through long term debt**
-

Q.5 Assume that ABC Company is following hedging approach and is planning for new capital investment in Plant and Equipment. In such circumstance, which of the following form of finance is most appropriate?

- A. Trade credit
 - B. Common stock equity**
 - C. Accounts payable
 - D. 6-month bank notes
-

Q.6 The beta of the benchmark index or market portfolio is:

- A. 0.50
 - B. 1.00**
 - C. 0.00
 - D. -1.00
-

Q.7 Gross working capital can further be classified according to:

- A. Rate of return and financing method
 - B. Time and components
 - C. Time and financing method**
 - D. Time and rate of return
-

Q.8 Which of the following is(are) used for estimating cash flows?

- A. Terminal Cash Flow
 - B. All of the given options**
 - C. Incremental Cash Inflow
 - D. Initial Cash Outflow
-

Q.9 What will be NPV of a project if PV of cash inflows is Rs. 550,000 and initial investment is Rs. 600,000?

- A. Rs. 1,150,000
 - B. Rs. 50,000**
 - C. Rs. 600,000
 - D. Rs. 550,000
-

Q.10 Which of the following is correct formula for per-unit contribution margin?

- A. Sales per unit - Variable cost per unit**
 - B. Sales / Contribution margin per unit
 - C. Total contribution margin/ Sales
 - D. Fixed cost / Contribution margin per unit
-

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Quiz

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BC230426792: MALIK NOMAN ARSHAD

Time Left 72 sec(s)

MGT201 - Financial Management (Quiz 3)

Quiz Start Time: 09:09 AM, 30 June 2025

Question # 1 of 10 (Start time: 09:09:44 AM, 30 June 2025) Total Marks: 1

Cost of debt includes:

Select the correct option

☐ Cost of debentures

☐ Cost of bonds

☒ All of the given options

☐ Cost of fixed income securities

Reload Math Equations

Click to Save Answer & Move to Next Question

Windows

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9:10:56 2025/6/30

Quiz

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BC230426792: MALIK NOMAN ARSHAD

Time Left 64 sec(s)

MGT201 - Financial Management (Quiz 3)

Quiz Start Time: 09:09 AM, 30 June 2025

Question # 2 of 10 (Start time: 09:10:16 AM, 30 June 2025) Total Marks: 1

What will be cost of preferred shares if a company is paying Rs. 12 per share dividend and the shares are selling Rs. 95 per share in the market?

Select the correct option

☐ 7%

☒ 12.63%

☐ 15%

☐ None of the given options

Reload Math Equations

Click to Save Answer & Move to Next Question

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9:11:46 2025/6/30

Quiz

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BC230426792: MALIK NOMAN ARSHAD

Time Left 58 sec(s)

MGT201 - Financial Management (Quiz 3)

Quiz Start Time: 09:09 AM, 30 June 2025

Question # 3 of 10 (Start time: 09:11:09 AM, 30 June 2025)

Total Marks: 1

Capital asset pricing model takes into account:

Select the correct option

Reload Math Equations

☐ Risk free rate of return

☒ All of the given options

☐ Beta

☐ Market return

Click to Save Answer & Move to Next Question

Windows

26°C Smoke 9:12:46 2025/6/30

Quiz

Difficult Situations Handling Tips

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BC230426792: MALIK NOMAN ARSHAD

Time Left 68 sec(s)

MGT201 - Financial Management (Quiz 3)

Quiz Start Time: 09:09 AM, 30 June 2025

Question # 4 of 10 (Start time: 09:12:06 AM, 30 June 2025)

Total Marks: 1

Which of the following is the formula to calculate tax shield benefit for a levered firm?

Select the correct option

Reload Math Equations

☐ Tax shield = tax saving + discount rate

☐ Tax shield = tax saving / tax rate

☒ Tax shield = tax saving * tax rate

☐ Tax shield = tax saving / discount rate

Click to Save Answer & Move to Next Question

Windows

26°C Smoke 9:13:26 2025/6/30

Quiz x Difficult Situations Handling Tips x +

https://vulms.vu.edu.pk/Quiz/QuizQuestion.aspx?ver=334084f4-aaf9-49d4-a6c5-1a00f0d45151

Quiz start time: 09:09 AM, 30 June 2025

Question # 5 of 10 (Start time: 09:12:47 AM, 30 June 2025) Total Marks: 1

Which of the following represents a change in capital structure?

Select the correct option

☐ An decrease in % of debt in the capital structure

☐ An increase in % of common shares in the capital structure

☐ An increase in % of preferred stock in the capital structure

☒ All of the given options

Reload Math Equations

Click to Save Answer & Move to Next Question

Windows

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Quiz x Difficult Situations Handling Tips x +

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Quiz start time: 09:09 AM, 30 June 2025

Question # 5 of 10 (Start time: 09:12:47 AM, 30 June 2025) Total Marks: 1

Which of the following represents a change in capital structure?

Select the correct option

☐ An decrease in % of debt in the capital structure

☐ An increase in % of common shares in the capital structure

☐ An increase in % of preferred stock in the capital structure

☒ All of the given options

Reload Math Equations

Click to Save Answer & Move to Next Question

Windows

26°C Smoke 9:14:01 2025/6/30

Quiz

Difficult Situations Handling Tips

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MGT201 - Financial Management (Quiz 3)

Time Left 74 sec(s)

Quiz Start Time: 09:09 AM, 30 June 2025

Question # 6 of 10 (Start time: 09:13:20 AM, 30 June 2025) Total Marks: 1

Arbitrage involves simultaneous buying and selling of assets to take advantage of _____ of the same assets.

Select the correct option

Reload Math Equations

☒ Different prices

☐ Similar prices

☐ None of the given options

☐ Equal prices

Click to Save Answer & Move to Next Question

Windows

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9:14:29 2025/6/30

Quiz

Difficult Situations Handling Tips

BC230426792: MALIK NOMAN ARSHAD

MGT201 - Financial Management (Quiz 3)

Time Left 65 sec(s)

Quiz Start Time: 09:09 AM, 30 June 2025

Question # 7 of 10 (Start time: 09:13:53 AM, 30 June 2025) Total Marks: 1

As per Net operating income theory; with the increase in leverage, shareholders return _____ with a proportion that overall cost of capital remains the same.

Select the correct option

Reload Math Equations

☐ Cannot be determined

☐ Decreases

☐ Remains the same

☒ Increases

Click to Save Answer & Move to Next Question

Windows

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Quiz

Difficult Situations Handling Tips

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MGT201 - Financial Management (Quiz 3)

Time Left 70 sec(s)

Quiz Start Time: 09:09 AM, 30 June 2025

Question # 8 of 10 (Start time: 09:14:32 AM, 30 June 2025) Total Marks: 1

Prime objective of a commercial business is:

Select the correct option

☒ Profit maximization

☐ Economic uplift

☐ All of the given options

☐ Fulfillment of corporate social responsibilities

Reload Math Equations

Click to Save Answer & Move to Next Question

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9:15:45 2025/6/30

Quiz

Difficult Situations Handling Tips

BC230426792: MALIK NOMAN ARSHAD

MGT201 - Financial Management (Quiz 3)

Time Left 75 sec(s)

Quiz Start Time: 09:09 AM, 30 June 2025

Question # 9 of 10 (Start time: 09:15:06 AM, 30 June 2025) Total Marks: 1

Which of the following is the general assumption of capital structure theories?

Select the correct option

☐ There is no change in risk perception of the investors with the change in capital structure

☐ Cost of debt < cost of equity

☒ All of the given options

☐ No taxes

Reload Math Equations

Click to Save Answer & Move to Next Question

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Quiz

Difficult Situations Handling Tips

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MGT201 - Financial Management (Quiz 3)

Time Left 84 sec(s)

Quiz Start Time: 09:09 AM, 30 June 2025

Question # 10 of 10 (Start time: 09:15:32 AM, 30 June 2025) Total Marks: 1

Which of the following is known as theory of relevance?

Select the correct option

Reload Math Equations

☐ Bird in hand theory

☒ All of the given options

☐ Traditional theory

☐ Net operating income theory

Click to Save Answer & Move to Next Question

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Quiz

Difficult Situations Handling Tips

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BC230426792: MALIK NOMAN ARSHAD

MGT201 - Financial Management (Quiz 3)

Time Left 63 sec(s)

Quiz Start Time: 09:09 AM, 30 June 2025

Question # 10 of 10 (Start time: 09:15:32 AM, 30 June 2025) Total Marks: 1

Which of the following is known as theory of relevance?

Select the correct option

Reload Math Equations

☐ Bird in hand theory

☒ All of the given options

☐ Traditional theory

☐ Net operating income theory

Click to Save Answer & Move to Next Question

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Q.1 According to Capital asset pricing model, the overpriced stocks have:

- A. Negative Beta
 - B. Negative Alpha**
 - C. Positive Alpha
 - D. Zero Beta
-

Q.2 What will be NPV of a project if PV of cash inflows is Rs. 550,000 and initial investment is Rs. 600,000?

- A. Rs. 550,000
 - B. Rs. 1,150,000
 - C. Rs. 50,000**
 - D. Rs. 600,000
-

Q.3 Systematic risk is also known as:

- A. Diversifiable Risk
 - B. Undiversifiable Risk**
 - C. Avoidable Risk
 - D. Controllable Risk
-

Q.4 Which of the followings is/are the type(s) of capital budgeting technique?

- A. Net Present Value
 - B. Payback Period
 - C. Internal Rate of Return
 - D. All of the given options**
-

Q.5 The beta of the benchmark index or market portfolio is:

- A. 0.00
 - B. 1.00**
 - C. 0.50
 - D. -1.00
-

Q.6 Which of the followings is true with respect to straight line method of depreciation?

- A. Depreciation expense decreases every year
 - B. Depreciation expense increases every year
 - C. None of the given options
 - D. Depreciation expense remains constant every year**
-

Q.7 Lead time is defined as:

- A. Length of time it takes to order inventory
 - B. Length of time between ordering and receiving inventory order**
 - C. Time before production is assumed
 - D. Length of time before stock out
-

Q.8 Which of the following is/are types of inventory?

- A. Raw material
 - B. Work in process
 - C. Finished goods
 - D. All of the given options**
-

Q.9 Gross working capital can further be classified according to:

- A. Time and rate of return
 - B. Time and components
 - C. Rate of return and financing method
 - D. Time and financing method**
-

Q.10 All are the examples of non-cash items EXCEPT:

- A. Bad debts
 - B. Depreciation
 - C. Amortization
 - D. Financial charges**
-

VU QUIZ REPORT

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Subject: MGT201

Quiz Completed: 1/6/2026, 8:33:33 AM

Total Questions: 10

Question 1:

Arbitrage involves simultaneous buying and selling of assets to take advantage of _____ of the same assets.

- A. Similar prices
- B. None of the given options
- C. Different prices**
- D. Equal prices

Selected Answer: C

Question 2:

As per Net operating income theory; with the increase in leverage, shareholders return _____ with a proportion that overall cost of capital remains the same.

- A. Remains the same
- B. Decreases
- C. Increases**
- D. Cannot be determined

Selected Answer: C

Question 3:

Which of the following is the feature of a perfect market?

- A. No barriers of entry and exist
- B. Large number of buyers and sellers
- C. All of the given options**
- D. No product differentiation

Selected Answer: C

Question 4:

Which of the following is known as theory of irrelevance?

- A. All of the given options
- B. Bird in hand theory
- C. Traditional theory

D. Net operating income theory

Selected Answer: D

Question 5:

Which of the following is known as theory of relevance?

- A. All of the given options
- B. Net operating income theory
- C. Traditional theory

D. Bird in hand theory

Selected Answer: D

Question 6:

What will be YTM of a 10 years Rs. 1000 face value bond which is paying a coupon of Rs. 100 and bond is currently selling at Rs. 950?

A. 10.76%

- B. 12.25%
- C. 15%
- D. None of the given options

Selected Answer: A

Question 7:

Securities issued to offer specified rate of return are classified as:

- A. Debt instruments
- B. Debentures
- C. Interest-bearing instruments

D. All of the given options

Selected Answer: D

Question 8:

What will be weighted average cost of capital if a company has 50% debt with a cost of 15% and 50% equity with a cost of 18%? (Tax rate = 35%)?

- A. 15%
- B. 13.875%**
- C. None of the given options
- D. 18%

Selected Answer: B

Question 9:

Which of the following statements is incorrect regarding traditional theory of capital structure?

- A. It is a theory of relevance
- B. Firm value is dependent on capital structure
- C. It is a theory of irrelevance**
- D. There exists an optimal capital structure where value is maximized and cost is minimized

Selected Answer: C

Question 10:

Prime objective of a commercial business is:

- A. Fulfillment of corporate social responsibilities
- B. All of the given options
- C. Profit maximization**
- D. Economic uplift

Selected Answer: C
